

A LONG TERM ANALYSIS OF GOLD STOCKS

Perhaps you have heard the idea that gold mining stocks are not only an inflation hedge, but also a deflation hedge. (Translation: gold stocks will never go down.) This thesis is based upon the observation that shares of gold mining companies soared during the 1930s. This fact is misleading absent the knowledge of two pertinent details. First is the fact, as market analyst Ian McAvity has pointed out, that gold stocks barely budged during the 1929-1932 bear market. Homestake's high of $11\frac{1}{2}$ in 1929 and a low of $13\frac{7}{8}$ in 1932 reveal little net gain, while Dome Mines was unchanged for the period. It was during the subsequent bull market that gold stocks soared. Second, it is imperative to know that the Federal government in those years supported a fixed price for gold at \$20.67 per ounce. While the deflation caused all other commodities to collapse in price from 1929 to 1933, the relative value of gold soared by comparison because its price was fixed. Thus, there was no reason for gold mining stocks to participate in the crash. In January 1934, the government *raised* the price of gold to \$35 per ounce (approximately a 1.618 multiple), and mining companies benefited from the wind-fall profits despite an environment of extremely low inflation. Even with that benefit, the average gold stock from 1932 to 1936/38 rose no more than the five times in value that the DJIA did! Today, the government does not fix the price of gold and is unlikely to do so. Without artificial constraints, gold should fall nearly as much as any other commodity during the coming deflation, and gold stocks are likely to fall even more. An analysis of the long term wave pattern for gold shares confirms this conclusion.

Figure 17-14 shows the sixty-year Elliott Wave history of the Toronto Stock Exchange Gold Mines Index. This is a thrilling chart. Look at the beautifully formed contracting triangle that took place from January 1936 to November 29, 1963. This can be none other than a fourth wave according to the rules of the Wave Principle. By its size, it is unquestionably of Supercycle degree, so is labeled wave (IV). From the triangle's termination in 1963 commenced an excellent five-wave impulse, labeled I-II-III-IV-V. Each advance in turn sports an excellent five-wave subdivision.

Wave IV was either a contracting triangle or a zigzag. Either way, wave V is tracing out a diagonal triangle, which is an overlapping five-wave structure that takes a wedge shape. Within this pattern, wave ④ is probably complete. The last thing remaining is one rise to a new all-time high. Such a rise will complete waves ⑤, V and (V). Diagonal triangles portend major, violent reversals.